AN IDEAL SCENARIO

I should have enough sense by now to refrain from outlining overly specific scenarios. Over the years, had I stuck to revealing only the aspects of my forecasts that were certain under the Wave Principle and omitted all conjectural aspects, even critics would have been hard pressed to find fault with any of it. In 1974, Frost and I might simply have said, "A great bull market for Cycle wave V is due, and will carry beyond 2700. We'll let you know when it's over." In 1982, after the wave was partially developed, I could have added simply, "Now we know that wave V will carry beyond 3600." Today, the only certainty is that a great bear market of Supercycle or Grand Supercycle degree is due to begin this year and carry the Dow to below 1000. That's quite enough specificity for a scenario that no one expects.

Nevertheless, I cannot resist trying to solve every aspect of a puzzle in my field. That challenge is what makes the profession engaging and fun. With the caveat, then, that the following is an ideal scenario far down the continuum of probability, I will proceed to put the puzzle together from the pieces we have discovered so far in this chapter.

Ideally, the Dow Jones Industrial Average should top out in 1995, then fall into a low in 2003 that marks the end of Supercycle wave (A). Wave (B) is then likely to carry the market upward for two or three decades, probably, though not necessarily, to a new high. Wave (C) will then unfold, probably ending in 2053-2058 amidst world turmoil. Either wave (A) or (C), or both, will bring the Dow down into the 90-390 range. The bear market could end there, completing a flat, but only if wave (C) has carried the market below the low of wave (A). More likely is that subsequent waves in a triangle or double three will carry the pattern into the end of the century, ideally in 2090-2094 and no later than 2112.

A *triangle* that fits into the Millennium degree wave channel would satisfy with exceptional precision all pattern requirements, price requirements and time forecasting considerations discussed in this chapter. Figure 5-12 shows this ideal pattern as it would fit into the Millennium wave channel.